

YOGEN SHAH



YOGEN SHAH



GETTY IMAGES

THE SUCCESS OF SEASON 1 WAS ITS HONEYMOON PHASE, SEASON 2 WAS A BOLD EXPERIMENT AND SEASON 3 IS THE RETURN OF THE NATIVE.

periment that deserved support, and now Season 3 is the return of the native. What about Season 4? Will the two new teams make money?

They will have to pay the IPL \$37 million a year or at least \$33.3 million a year, besides paying players, management and other costs. Even a successful franchise like the Mumbai Indians pay \$11 million a year to the IPL under the conditions of the bid and, spend another \$8 million as player fees, \$2 million on other expenses. It earns \$15 million a year from the central revenue pool and \$11 million a year from local revenue.

Hiren Pandit, managing partner of GroupM ESP, says the maths shows that

a price point of about \$310 to \$320 million can be earned in 10 years, but with a strong focus on local earnings. "If the new bidders are relying only on central revenue to prop them I see this as a struggle. Learnings from international leagues clearly shows us that teams that build a strong local base can extract the maximum from local revenues."

The valuation business itself is notoriously cryptic, more so in a league where rules change rapidly. The IPL's success, some experts say, is not dependent on consistent quick profits but on the very idea of growth. This is why many believe Season 4 will make Season 1 look as eventful as a kitty party.

It is going to take us all—cricketers, cheerleaders, critics—to a new level.

Ask the two new teams. Maharashtra Cricket Association (MCA) President Ajay Shirke's office made presentations on Pune to prospective bidders. "We knew that if we missed this boat, it would have been a tragedy of sorts." The MCA is building Pune's new stadium on their own land, designed by British architect Michael Hopkins, the man behind the new-look Lords and on London Olympic projects. Shirke says Pune's stadium will be "the Mercedes Benz of all cricket grounds in India".

As Pune celebrated, Kochi surprised. Yet days before the second IPL bidding (the first scrapped because the IPL governing council was horrified to see the tender demanding a net worth of \$1 billion) Kerala Cricket Association (KCA) officials were being told by their BCCI brethren, "You're going to get the jackpot." Now Kochi's Nehru Stadium has to be slapped into shape, returfed, given a roof to cover spectators' heads and the KCA's district academy programme fast-tracked.

Impressed as everyone is by the IPL's business model and its carpet-bombing of vast tracts of pliant media acreage, Samir Kale, marketing director CMGC India and president SportzPR says, "One needs to take care that the IPL doesn't become too powerful and overtake the BCCI." Already, there is rumour that Sahara may now bail out of its sponsorship of the Indian team, which cost Rs 313.8 crore for four years.

BCCI President Shashank Manohar, also a member of the IPL governing council, says Sahara has told him they would continue and that he never reads newspapers anyway. Naturally, he is not worried, "I don't think of the IPL as a danger. People are still interested in ODIs and Tests." So Season 4, with its 10 teams, will be held in 54 days, he says. Allowed to play in only a maximum of 14 games, players will be rotated. The old law, believes the experienced lawyer, will hold its own.

Still, the IPL has won over hearts, minds and pockets. If Modi and his league want to take over cricket as it exists, all they have to do now is take over the calendar. ■